

CHAPTER 3 – Asset Class Building Blocks

“I think the single most important thing that you can do is diversify your portfolio.”

–Paul Tudor Jones, Founder Tudor Investment Corporation

The next two questions and answers will likely surprise you.

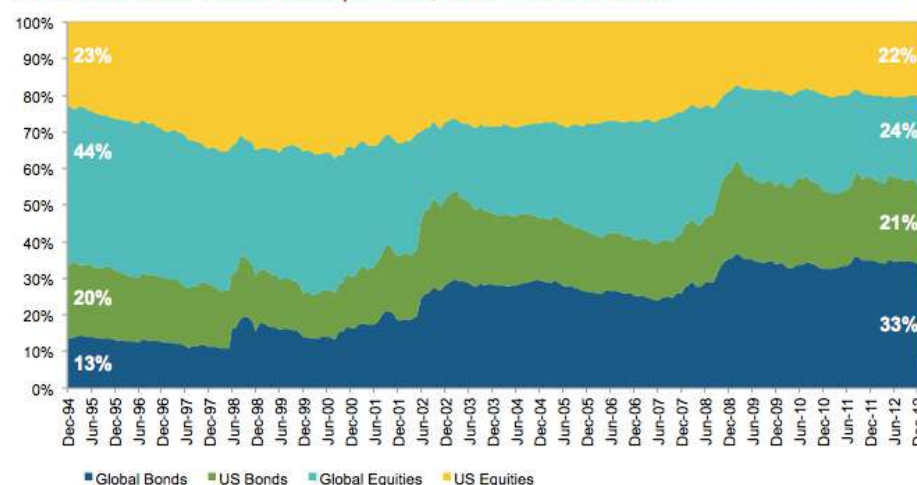
Question 1 - Quick, what is the world's largest financial asset class? Don't know?

Answer: Foreign ex-U.S. bonds! This is usually surprising to most investors who assume the answer is U.S. stocks or bonds.

FIGURE 15 – The Largest Asset Class in the World

Non-U.S. bonds are the world's largest asset class

Global investable market components, 1995 – March 2013



Notes: Global bonds are represented by the Barclays Capital Global Aggregate ex-USD Bond Index through July 2001 and by that index plus the Barclays Capital Global Emerging Markets Index thereafter. U.S. bonds are represented by the Barclays Capital U.S. Aggregate Bond Index. U.S. stocks are represented by the MSCI USA Investable Market Index. Global equities are represented by the MSCI All-Country World Investable Market Index ex USA.

Sources: Thomson Reuters Datastream, Barclays Capital, MSCI and Vanguard. Data through March 31, 2013.

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Source: [Vanguard](#)

Question 2: How much of your global stock allocation should be in the United States?

Answer: About half!